

SHEKA ZONE SPECIAL BOARDING SCHOOL

Excellence with our support

Sheka Zone, Ethiopia | Phone: _____

Score	%
Test	
Final	
Others	
Total	

Full Name	Grade: 10	Section	Final Exam
Subject: Economics	Year: 2018 E.C	Teacher: Mr. Matiyos	Time: 1:30 Hr

General Instruction: All answers must be written clearly.

Part I: True / False (5 Marks)

Write “True” or “False” for each statement.

1. Elasticity of demand measures responsiveness of quantity demanded to price change.
2. Perfectly inelastic demand has elasticity equal to zero.
3. Luxury goods always have low income elasticity.
4. Demand is elastic when elasticity is greater than 1.
5. Necessities have high income elasticity.

Part II: Multiple Choice Questions (7 Marks)

Choose the correct answer.

6. Price elasticity of demand is calculated as:

- A. % change in income / % change in price
- B. % change in quantity demanded / % change in price
- C. Price / Quantity
- D. Quantity / Price

7. If demand is perfectly elastic, elasticity equals:

- A. 0
- B. 1
- C. Infinity
- D. Negative

8. A good with elasticity greater than 1 is:

- A. Inelastic
- B. Elastic
- C. Unit elastic
- D. Perfectly inelastic

9. Which of the following affects elasticity of demand?

- A. Price of goods
- B. Availability of substitutes
- C. Income level
- D. All of the above

10. Income elasticity measures change in demand due to:

- A. Price change
- B. Income change
- C. Supply change
- D. Tax change

11. If income increases and demand increases, the good is:

- A. Inferior good
- B. Normal good
- C. Giffen good
- D. Substitute

12. Which good is likely to be inelastic?

- A. Luxury car
- B. Soft drinks
- C. Salt
- D. Fashion clothes

Part III: Numerical Questions (8 Marks)

13. Calculate the price elasticity of demand:

Price changes from 10 to 8 birr, and quantity demanded increases from 20 to 30 units.

14. Calculate income elasticity of demand:

Income increases from 1000 birr to 1500 birr, and demand increases from 50 units to 75 units.

Part IV: Short Answer Questions (10 Marks)

- 15. Define price elasticity of demand.
- 16. What is income elasticity of demand?
- 17. Mention two factors affecting elasticity of demand.
- 18. Differentiate between elastic and inelastic demand.
- 19. Give one example of a necessity good.